Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com DEGREE EXAMINATION APRIL 2017

CM408Q – CORPORATE ACCOUNTING - II

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is Goodwill?
2. What is Super Profit?
3. Explain any two situations which does not require court approval for alteration of share capital.
4. What is absorption?
5. What do you mean by purchase consideration?
6. What do you mean by amalgamation?
7. Define CRR.
8. What is Statutory Reserve?
9. What is minority interest?
10. What do you understand by cost of control?

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. B Ltd agreed to absorbs A Ltd upon the following terms. The shares of A Ltd are to he considered as worth Rs. 12 each of which shareholders are to be paid one quarter in cash and the balance in Rs.100 shares of B Ltd which are to be issued at 25% premium. Total shares were 10,000 in B ltd and 20,000 in A Ltd., Ascertain the number of shares to be issued by B Ltd.

12. (i) M Ltd., has share capital of Rs.5,00,000 divided into 5000 shares of Rs. 100 each fully paid. Show the entries when a) M Ltd., resolves to subdivide the shares into 50,000 shares of Rs. 10 each fully paid.

(ii) When M Ltd. Resolves to convert its 5000 shares of Rs. 100 each into Rs.5,00,000 worth of stock.

13. R Ltd agrees to purchase the business of K Ltd. On the following terms:

(i) For each of the 10,000 shares of Rs.10 each in K Ltd., 2 shares in R Ltd., of Rs.10 each will be issued at an agreed value of Rs.12 per share. In addition Rs.4 per share cash also will be paid.

(ii) 8 % debentures worth Rs.80,000 will be issued to settle the Rs.6,00,000 9% debentures in K Ltd.,

(iii) Rs.10,000 will be paid towards expenses of winding up.

Calculate the purchase consideration.

14. The Trial Balance of the Punjob Bank Ltd., as on 30 th June 2004 shows the following balances.

i. Interest and discounts Rs. 9,18,000
ii. Rebate on bills discounted (on 1.7.2003) Rs. 7,160
iii. Bills discounted and purchased Rs. 6,12,500
iv. Amount of unexpired discount as on 30.6.2004 Rs. 8,400

Draft necessary adjusting entries and calculate the amount of 'Interest and Discount' to be credited to Profit and Loss Account.

15. Stock of Rs. 3,20,000 held byH Ltd., consists of Rs.1,20,000 goods purchased from S Ltd., Who has charged profit on sale of 20%. H Ltd acqired 80% of shares of S Ltd. Calculate the amount of unrealized profit on stock.

16. The following particulars are available in respect of the business carried on by Wisehead:

(i) Capital employed Rs. 50,000 (ii) Trading results – 1989 profit Rs. 12,200, 1990 profit Rs. 15,000, 1991 Loss Rs. 2000. 1992 profit Rs. 21,000; (iii) Market rate of interest on investment 8% (iv) Rate of risk return on capital invested in business 2%: and (v) Remuneration from alternative employment of the proprietor Rs. 3,600 p.a.

You are required to compute the value of goodwill on the basis of 3 year's purchase of super profits of the business calculated on the average profits of the last four years.

17. X Lttd., with a share capital of 1,00,000 equity shares of Rs.10 each fully paid decided to repay its members Rs.2 per share by way of capital reduction Pass the necessary journal entry.

SECTION – C (3X10=30)

Answer any **THREE** Questions

18. On 31st March 2000, the Balance Sheet of Harsh Ltd., disclosed the following position.

Liabilities	Rs.	Assets	Rs.
Subscribed share capital in shares of Rs. 10 each (fully paid)	4,00,000	Goodwill Other fixed assets Current Assets	40,000 5,00,000 4,00,000
General Reserve	1,90,000		
P & L a/c	1,20,000		
14% debebtures	1,00,000		
Current Liabilities	1,30,000		
	9,40,000		9,40,000

On the above mentioned date, the tangible fixed assets were independently valued at Rs. 3,50,000 and goodwill at Rs. 50,000. The net profits for the three years were

1997-98	Rs. 1,03,200
1998-99	Rs. 1.04.000
1999-2000	Rs. 1,03,300

Of which 20% was placed to General Reserve this portion being considered reasonable in the industry in which the company is engaged and where a fair return on investment may be taken at 18%. Compute the value of the company's share by (a) the net assets method and (b) the yield method. Ignore taxation.

19. Explain the various steps involved in Internal Reconstruction.

20. Explain the various methods of computing Purchase consideration.

21. On 31.3.2000 the following balances stood in the books of New Bank Ltd., after preparing Profit and Loss Account.

	Rs. '000
Share capital	3,500
Reserve Fund	2,450
Fixed Deposit accounts	6,650
Savings bank accounts	21,000
Current accounts	56,000
Money at call and short notice	2,100
Investment at cost	21,000
Profit and loss account (cr) 1.4.1999	1,470
Dividends for 1999	350

Land and buildings (after depreciation upto 31.3.2000)	7,445
Cash in hand	420
Cash with RBI	10,500
Cash with other banks	9,100
Borrowings from other banks	4,400
Bills discounted and purchased	4,200
Sundry Creditors	210
Bills payable	5,600
Unclaimed dividend	210
Bills for collection	980
Acceptance on behalf of customers	1,400
Net profit for 1999-2000	1,680

(The net profit is after deducting provisions for bad debts Rs.2,10,000 tax provision Rs. 7,00,000 and rebate on bills discounted Rs.35,000)

Prepare the balance sheet of bank as on 31.3.2000.

22. From the following summarized balance sheets of H Ltd and S Ltd as on 31.12.12. prepare a consolidated balance sheet.

Liablities	**H Ltd**	**S Ltd**	**Assets**	**H Ltd**	**S Ltd**
Share capital in share of Rs.10 each	25,00,000	12,50,000	Fixed Assets	18,10,000	15,75,000
Reserves	7,50,000	5,00,000	Investments (1,00,000 shares in S Ltd)	11,00,000	……
Creditors	2,25,000	2,00,000	Current Assets	5,65,000	3,75,000
	34,75,000	**19,50,000**		**34,75,000**	**19,50,000**

H Ltd., purchased the shares in S Ltd., on 1.1.12. When reserves in S Ltd stood at Rs.3,00,000 and in H Ltd. At Rs. 4,50,000.

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